
Annexure VIII : Terms of Payment

Terms of Payment

1. Payment against supply of Equipment

- Letter of Credit for 100% would be opened after receipt of acceptance of purchase order with security deposit
- 40 % payment will be released against dispatch document
- 40 % payment will be released against delivery of equipment at site.
- 20 % of payment after successful installation, commissioning and acceptance along with software at site against submission of performance bank guarantee of 5 % amount valid for 24 months from the date of acceptance.

2. Payment against supply of Lane operating Software

- Letter of Credit for 100% would be opened after receipt of acceptance of purchase order with security deposit
- 60 % payment will be released against delivery of equipment at site.
- 20 % payment will be released after successful installation, commissioning and acceptance of software along with equipment at site.
- 20 % of payment after successful operation of test lane for more than six months, and against submission of performance bank guarantee of 5 % amount valid for 24 months from the date of installation.

3. Payment for one year operation of test lane

- Mobility advance for three months.
- Monthly running bill will be paid starting from at the end of fourth month. Such payments shall be made against invoice submitted by the vendor.
- Final month payment shall be paid after the vendor has handed over all the equipments in good working conditions and settled all the dues to be paid by vendor.

4. Taxes & Duties

The Taxes and Duties shall be applicable as per the provisions of Clause 28 of "[Annexure IX](#) - General Conditions of Contract".

5. Deviations in Terms of Payment

The Bidder's offer must be as per the Terms of Payment given above. Any deviation from the above Terms of Payment shall not be entertained. Any offer with deviation from the above Terms of Payment shall be liable to disqualification by executing agencies.